Parker Securities Fraud Class Action

This securities fraud class action is brought on behalf of all persons who purchased common stock of TechStart Inc. between January 1, 2021 and December 31, 2021. The plaintiffs allege the defendants made materially false and misleading statements regarding the company's financial condition and business prospects in violation of Section 10(b) of the Securities Exchange Act and Rule 10b-5. The plaintiffs allege the defendants knew or recklessly disregarded that the company's revenue recognition practices were improper and that reported revenues were materially overstated. When the truth was revealed, the stock price declined by 60%, causing substantial losses to investors. The plaintiffs seek damages, attorney fees, and costs. The defendants move to dismiss the complaint, arguing the plaintiffs have failed to plead fraud with the particularity required by Rule 9(b) and have not adequately alleged scienter. The defendants argue the challenged statements were forward-looking statements protected by the safe harbor provision. The court denies the motion to dismiss. The complaint adequately pleads specific false statements, their falsity, and facts giving rise to a strong inference of scienter. The safe harbor does not apply because the statements were not accompanied by meaningful cautionary language. The case shall proceed to discovery.